

future, as we are not a software company.”

“We found that MIFOS met all our needs. Now, we are not locked-in with any one software vendor and we do not have to pay any licence fees. The software is tailored to microfinance needs, built by specialists from across the world and has been built with advanced state-of-art platforms. So we jumped into supporting it, and became the first and currently the largest user of MIFOS,” says Krishna.

According to Krishna, the biggest reason for the migration was that Portfolio Tracker was based on a decentralised model and the database uploads would be done periodically. With MIFOS, the entire database is centralised and updates are available on a real-time basis. Moreover, MIFOS is also very cost effective as it is open source.

How does MIFOS work?

MIFOS is a Web-based management information system that streamlines the operations of microfinance institutions through its open source technology platform, providing real-time information and the capacity to scale. MIFOS helps microfinance institutions operate more efficiently and to drive a broader and deeper outreach to the poor. “MIFOS works just like any core banking software as far as the loan portfolio management is concerned. The workflows in MIFOS have been defined keeping our group lending processes in mind. All our customer data is aggregated in groups and centres,” says Krishna.

“The entire loan disbursement and collection process is managed on MIFOS. We receive real time information of collections and disbursements as soon as the data is entered and submitted by any user. Reports are also configured and shared with different users to track the disbursement, portfolio and recovery position, every day,” he adds.

Saving moolah with FOSS

Deployment of open source software has removed the need for any licensing costs incurred on the MIS, yet enables Grameen Koota to cope with its current requirements (which include a tremendous increase in data volumes), manage new upgrades and support new product innovations. In short, MIFOS is the backbone of the organisation. “The biggest advantages of the open source model are the licence cost savings, as well as the independence in managing the application and its capabilities. Along with MIFOS, we also use an open source data base. The open source platform also allows easy integration with third party applications, making this process easier and smoother. MIFOS is built and maintained by an open source community. This group of contributors is managed by the Community for Open Source Microfinance (COSM) from Seattle. There are many entities across the world, including software companies like Conflux Technologies, Thoughtworks, Sungard, Soldevelho, etc, that provide support to us and also help us with modifications and enhancements. The

open source community has a road map for upgrading MIFOS and periodically releases updates. Apart from this, our internal technology team manages the regular day-to-day support required for the smooth functioning of operations,” shares Krishna.

Tackling support issues with the help of the open source community

The IT managers of Grameen Koota interact with the open source community on a regular basis and seek help on various support issues. According to Krishna, “For most of the already deployed OSS, we have the internal technology team that manages support requirements. This team handles support issues to the greatest possible extent. In case it faces

challenges in resolving things on its own, the team gets in touch with some of the supporting software companies like Conflux, Soldevelho, Sungard, etc, depending on the nature of the support required. We usually get a response from them within 24-48 hours.”

“There is a regular bi-monthly call with the entire development community, in which we participate. We discuss our problems, challenges and needs with them. We also test the pieces of code developed by them and provide them feedback. Apart from this, we have weekly interactions with a couple of community contributors who are working closely with our organisation in building the technology to support our future needs. There is a dedicated team providing us support to make this happen as part of our technology roadmap,” explains Krishna.

Challenges and the roadmap for the future

The biggest challenge for Grameen Koota is the uncertainty of future upgrades and sustained support for MIFOS. “We are continuing to work with the community on building sustained long term support structures around MIFOS. And if you talk about the road ahead, we would say that open source is a great way of bringing down the costs of IT and also being in control of the software. We believe it will continue to play an important role in shaping our technology and in our transformation into an increasingly technology-driven company,” says Krishna as he signs off.

Grameen Koota has made some very smart moves to earn high dividends in the industry it operates in—one of which was to migrate to the open source platform. It would be interesting to see how many more enterprises seize new opportunities with open source technology to back them, which could help them expand their business manifold. **END** 



Suresh K Krishna,
managing director of Grameen Koota

By Priyanka Sarkar

The author is a member of the editorial team. She loves to weave in and out the little nuances of life and scribble her thoughts and experiences in her personal blog.